Economic Monthly Report

As of December 2025

Ministry of Finance

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Government of Tonga

GDP growth moderated

Tonga's economy continues to expand steadily, however, the developing conflict in the Middle East likely to contribute to renewed inflationary pressure going forward,

Summary

- FY2025 saw an overall **growth of 2.1 percent** driven by construction, services and manufacturing.
- FY2026 is projected to **grow by 2.3 percent**, the moderation down from 2.6 percent is mainly due to delays in key projects

Primary Sector: Projected to grow by 2.8 percent for FY2026 driven by investments in infrastructure and replanting programs in agriculture.

Industrial Sector: Strong growth in FY2026 stems from ongoing major projects from the previous year including the SECURE bridge.

Services Sector: Strengthened revenue administration and an increased public sector has contributed to sector growth in FY2025 and FY2026 so far, with a positive outlook for the forecast period driven by the expected expansion of the tourism and wholesale sectors.

Economic Variables

Key economic variables as of December 2025

- **Annual Inflation** moderated to 3.1 percent in December 2025
- **Foreign Reserves** increased to $961.7m in December 2025
- **Remittances** amounted to $559.7m in November 2025 (latest figure)

See Half-Year report for details

Fiscal summary

Government Financial Statistics reports the following figures:

Indicator	Budget Est FY2026	July-Dec 2025
Revenue	929.7	295.0
Expenses	617.4	221.4
Gross Operating Balance	312.3	73.5
Net Lending/Borrowing Requirement	55.5	29.1

Table 1. Government Financial Statistics

At the end of December 2025, the Government recorded a fiscal surplus of $29.1m from strong revenue inflows, particularly from current grants, and moderate expenditure execution in the first half of the year.

- **Taxes** are the key drivers generating 162.8m by the half year. Current Grants are up $51m from last year.
- Key components are compensation of employees ($89.3m) and Use of Goods and services ($101.6m)

Budget Updates

The recurrent budget performance for the Half-year FY2026 is :

Recurrent Budget	FY 2026 est	July-Dec 2025
Revenue	560.4	247.3
Expenditures	589.5	212.9
Balance	(29.1)	34.4

Table 2. Recurrent Envelope

1. **Recurrent Overall Performance**
   - Budget Position as of FY2026 midterm (Dec 2025) registered a surplus of $34.4m
   - There was lower than projected operational spending
   - Late input of domestic revenue figures into the financal management system could explain variance in the estimated vs projected figures
   - Financing requirement is favorable with further increase in cash reserves by $44.4m by the end of the first half of the year
   - Estimated balance is porjected at a recurrent budget deficit of $26.9n
2. **Domestic Revenues** - Domestic revenues reached $181.9m by the half-year, significantly lower than mid-year expectations. Several categories in both **tax** and **non-tax** categories have generated lower revenue than forecasted - these include Trade and excise taxes, as well as fees & charges and capital transfers.
3. **Expenditure** - Recurrent expenditures (excluding bond payments) were at (36 percent execution of the annual target and 6 percent below forecast for the mid-term) - diven primarily by under-spending in the operational and wage bill-related categories.

Development Updates

The Development Budget Performance for FY2026 is

Envelope	Estimate FY 2026	July-Dec 2025
Cash	144.93	44.06
In-Kind	243.89	95.15
Grand Total	389.82	139.21

Table 3. Development Envelope

The Development Budget performance for FY2026 showed slow progress for the Development funding Projects. The total expenditure from July to December 2025 is at 36 percent of the budget execution, reflecting ongoing Projects are moving at a steady pace of implementation.

- **The cash component** achieved 30 percent of budget execution reflecting steady progress for Government Infrastructural Projects.
  - This includes the Vava'u Hospital construction, TSSR, TCRTP 2, National Museum, Tonga Volcanic Eruption Project, National Water Tank Project, and Affordable housing Project.
- **in-kind** utilized 39 percent of the Budget reflecting also similar progress with large Energy Projects such: as the GREST Project, Nuku'alofa Network Upgrade Project, Tonga Renewable Energy Stabilization Project have been on hold.
- High level **directives from Government and Development Partners** have impacted large projects such as the New Fishing Vessels, Biogas Project, ADB Local Currency Bond and Sustainable Women's Entrepreneurship Financing Project.
- **Projects have been slow on implementation** includes the Integrated Aged Care Project, Hawaiki Cable Project, New Parliament Building, Tonga Coastal Resilience Project. sed est scelerisque, elementum mollis augue iaculis.

Fiscal Anchor and Debt Position

The total debt outstanding declined to $405.8m in December 2025. This comprised 326.5m in external debt and 79.3m in domestic debt.

Debt component	2024/25	July-Dec 2025
Public Debt position	**410.5**	**405.8**
Domestic debt	68.5	79.3
External debt	342.0	326.5

Table 4. Debt Position

- Domestic debt rose in December due to new bond issuances executed during the current financial year
- The multilateral creditors continue to hold the majority of Tonga's external debt, collectively amounting to $200.3m. (Comprises the World Bank, IMF, ADB, and the fund for Agricultural development).
- The Government's sole bilateral creditor, the Export-Import (EXIM) Bank of China, accounts for 38.7% of the external debt, amounting to $126.2m.

Cash Flow Position

The Cash Flow Position as of December 2025:

First column	December Quarter 2025	Total Fourth	
Operating Receipts	160.79	269.26	α
Operating Payments	103.80	216.0	β
Balance with Budget Support	59.99	53.26	δ
Balance w Budget Support & Bond	9.22	57.76	γ
Balance from Grants/Loans	(42.39)	(50.54)	
Increase in Cash from operations	15.36	16.44	

Table 5. Cash Flow Position

- Half of the Financial Year 2026, the Operating Receipts in total were $269.3m excluding Bond Receipts of $13.7m while total Operating Payments summed up to $216m, resulting in an Operating Surplus of $53.3m
- The major increase in Total Operating Receipts in December Quarter was mainly due to reallocate of Additional Budget Support from Development to Recurrent $65.4m in total.
- Taxes on Goods and Services were the main contributor to the collection of Government Receipts at the first half of the Financial Year, 28 percent of total operating receipts ($75.6m).
- Major payments for the first half of the year in total was mainly for payroll ($82m) and second to that was total payment of Public Debt, including loan repayment of EXIM China Loan during the month of September with total of 4 birds
- With regards to Development Funds, total expenditure was totaled up to $76m exceeding the total grant receipts of $26m.